

Technical Analysis I

Charts, Structure & Price Action

Explained so simply a 10-year-old gets it

Reading the footprints that millions of buyers and sellers leave on a price chart — trends, floors & ceilings, breakouts, and candles.

Stock Market Mastery Roadmap • Intermediate Level
Educational only — not investment, trading, or tax advice.

Fundamentals told you **what** is worth owning. Now **technical analysis** helps with **when and where**. It's just **reading the story a price chart tells** — the footprints left by millions of buyers and sellers. Let's learn to read those footprints.

Chart types: three ways to draw the same story

Chart	What it shows	Like...
Line	just the closing price, joined up	a simple dot-to-dot
Bar	open, high, low, close for each period	a bit more detail
Candlestick	same 4 prices, but as easy-to-read candles	the story in full colour

A **candle** has a fat **body** (open-to-close) and thin **wicks** (the highs/lows it touched). **Green** = price rose, **red** = price fell. Traders love candles because you can *feel* the battle between buyers and sellers at a glance.

TIMEFRAMES NEST LIKE RUSSIAN DOLLS

The **same chart** looks different zoomed in or out. A 5-minute chart lives *inside* the hourly, which lives *inside* the daily. Checking more than one is called **multi-timeframe analysis** — like reading a chapter *and* the whole book to understand the story.

Market structure: is the price climbing stairs or sliding down?

Price mostly does one of three things. Spotting which one is the **first skill**:

-  **Uptrend** — **higher highs & higher lows** (each bounce climbs like walking *up* stairs).
-  **Downtrend** — **lower highs & lower lows** (each step goes *down* stairs).
- ↔ **Range** — bouncing sideways between a floor and a ceiling (walking back and forth in a corridor).

Support & resistance: the floor and the ceiling

- **Support**  — a **floor** where buyers tend to step in and price bounces up.
- **Resistance**  — a **ceiling** where sellers appear and price gets pushed down.
- **Supply & demand zones** — wider *areas* (not exact lines) where lots of buying or selling waits.
- **Role reversal**  — once a **ceiling breaks**, it often becomes the new **floor** (and vice-versa) — like water rising above a shelf, then resting on it.

WHY DO THESE LEVELS EVEN WORK?

Not magic — **memory**. A level matters because **lots of people remember it** and act there ("I'll buy if it drops back to that price again"). Support & resistance is really **crowd behaviour**, not a spell drawn on the chart.

Trendlines, channels & breakouts

- **Trendline** — a slanted line connecting the steps of a trend, showing its direction.
- **Channel** — two parallel trendlines forming a "road" the price travels inside.
- **Breakout**  — price **bursts above** a ceiling. **Breakdown**  — price **falls below** a floor.
- **Retest**  — after breaking out, price often **comes back to touch** the level to check it holds — a common, safer entry spot.

Volume: the lie detector

Volume = how many shares traded. It **confirms** whether a move is real:

- A breakout on **big volume** = lots of people agree → more trustworthy. 
- A breakout on **tiny volume** = few believers → often a **fakeout**. 
- **VWAP** (intraday) — the volume-weighted average price; a "fair value line" many day-traders watch to judge if price is cheap or dear *today*.

Candlestick patterns that actually matter

Pattern	The story it hints at
Engulfing	one big candle <i>swallows</i> the last one — a strong shift in who's winning
Pin bar / Hammer / Shooting star	a long wick — price was pushed hard then rejected
Doji	open $\approx$ close — buyers and sellers are undecided (a pause)
Inside bar	a small candle inside the last one — a quiet coil before a move

CONTEXT BEATS THE PATTERN

A hammer at a **strong support** after a long fall is powerful. The *same* hammer floating in the middle of nowhere means little. **Where** a pattern appears matters far more than the pattern's name. Never trade a shape blindly.

Key ideas to remember

- **Price action first, indicators second.**  Indicators (RSI, moving averages...) are *made from* price — so read the raw price story before the fancy tools.
- **Levels are behavioural, not magic.** They work because **participants remember them** and act there.
- **Higher timeframe sets the bias; lower timeframe sets the entry.** Decide the *direction* on the daily chart, then find a neat *entry* on the 15-minute.

PRACTICAL EXERCISES

-  **On TradingView**, mark the **trend**, **key support/resistance**, and **one clean structure** on **20 charts**. Aim for **speed and consistency**, not perfection.
-  **Find 10 real breakouts and 10 fakeouts.** For each, note **what volume did** — you'll start to see the difference.
-  **Practise multi-timeframe:** set the **bias on the daily**, find the **entry on the 15-minute**, on 5 examples.

REAL-WORLD APPLICATION

-  **Structure + S/R is where your stop-loss and target physically live.** Good technicals are mostly about **where to place your risk**, *not* about magically predicting the future. You're finding smart spots to enter, exit, and protect — not fortune-telling.

ONE-LINE SUMMARY

A chart is a story of buyers vs sellers. Read **structure** (up/down/range), find the **floor & ceiling** (support/resistance — which work because people *remember* them), watch **volume** to confirm **breakouts**, respect **candlestick context**, and use the **big timeframe for direction, the small one for entry**. Technicals show you **where to place risk**, not the future.